

RESOLUTION NO. 23-9185

A RESOLUTION OF THE CITY OF SANTA CLARA, CALIFORNIA, ACCEPTING THE AB1600 REPORT ON DEVELOPMENT IMPACT FEES FOR FISCAL YEAR ENDED JUNE 30, 2022 AND MAKING FINDINGS REGARDING THE CONTINUING NEED FOR UNEXPENDED BALANCES OF IMPACT FEES AS OF JUNE 30, 2022

BE IT RESOLVED BY THE CITY OF SANTA CLARA AS FOLLOWS:

WHEREAS, Government Code Sections 66000 et seq. (commonly known as, and referenced herein as, “AB1600”) regulate the imposition, collection, maintenance, expenditure and reporting of impact fees imposed on developers for the purpose of defraying their impacts on public facilities;

WHEREAS, the City of Santa Clara (“City”) has identified eight (8) impact fees collected from developers that are subject to AB1600’s requirements. Those funds are the Traffic Mitigation Fee (Funds 123/533), the Sanitary Sewer Outlet Fee (Fund 594), the Sanitary Sewer Connection Fee (Fund 594), the Sanitary Sewer Conveyance Fee (Fund 594), the Storm Drain Fee (Fund 535), the Parks Mitigation Fee (Fund 532), the Tasman East Specific Plan Infrastructure Impact Fee (Fund 541), and the Affordable Housing Fee (Fund 565);

WHEREAS, in accordance with the provisions of AB1600, the City has set up separate special revenue funds for each type of fee, crediting earned interest to those funds, and spending the accumulated fees and related interest on appropriate expenditures;

WHEREAS, the City has prepared an annual report for fiscal year 2021-22 in accordance with AB1600, “AB1600 Report on Development Impact Fees for Fiscal Year ended June 30, 2022,” reflecting the beginning and ending balances of each separate fund containing impact fees; the amount of fees collected and the interest earned for the year; the amount of expenditures and refunds made in the year; the percentage of expenditures paid for by fees; and a description of the type of fees. The amount of each of these AB1600 fees for FY 2021-22 is reflected in the City’s Municipal Fee Schedule, previously adopted by this Council;

WHEREAS, a copy of the annual report has been on file and available for review in the City Clerk's Office and the Finance Department at Santa Clara City Hall, and online at Santaclaraca.gov/Finance since December 23, 2022;

WHEREAS, AB1600 requires the City to make specific findings every five (5) years with respect to any portion of the fees remaining unexpended or uncommitted after a period of five (5) years to 1) identify the purpose to which the fee is to be put, 2) demonstrate a reasonable relationship between the fee and the purpose for which it was charged, 3) identify all sources and amounts of funding anticipated to complete financing of the improvement, and 4) designate the approximate date on which such funding will be available;

WHEREAS, the Traffic Mitigation Impact Fee, which was established for the purpose of providing a source of funding for traffic improvements, contains some fee revenues which were received more than five (5) years ago. The sum of \$3,952,779 representing fees and accrued interest collected for traffic mitigation remains unexpended five (5) or more years after deposit of the fees;

WHEREAS, the Storm Drain Fee, which was established for the purpose of mitigating storm drainage that results directly or indirectly from development projects, contains some fee revenues which were received more than five (5) years ago. The sum of \$216,873 representing fees and accrued interest collected for storm drainage mitigation remains unexpended five (5) or more years after deposit of the fees;

WHEREAS, the Sanitary Sewer Conveyance Fee, which was established for the purpose of mitigating sanitary sewer conveyance load that results directly or indirectly from development projects, contains some fee revenues which were received more than five (5) years ago. The sum of \$9,730,436 representing fees and accrued interest collected for sewer conveyance mitigation remains unexpended five (5) or more years after deposit of the fees; and

WHEREAS, the City desires to make the findings required by law with respect to these unexpended fees.

NOW THEREFORE, BE IT FURTHER RESOLVED BY THE CITY OF SANTA CLARA AS FOLLOWS:

1. That the City Council hereby accepts the attached AB1600 Report on Development Impact Fees for Fiscal Year ended June 30, 2022 ("Report"), and makes the following findings:

A. The Traffic Mitigation Impact Fee revenues are to be used to construct traffic improvements needed by new development. The amount of the fee for different land use types is proportionate to the need for traffic improvements generated by such land use types. This fee is still necessary as several projects are tied to larger development projects that have yet to occur. These development projects are still anticipated to take place based on the City's General Plan. The traffic mitigation fee is set at a lower rate than justified, and as a result projects are underfunded. This has also slowed down progress on projects resulting in some project costs increasing. Periodically, as the City updates the General Plan and as new development occurs, additional improvement projects are identified and added to the Traffic Mitigation Fee Project List.

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B. The portion of the \$10,938,618 fund balance in the Traffic Mitigation Fund that was at least five (5) years old as of June 30, 2022, totals \$3,952,779. The City will use the entire fund balance for the projects identified in Exhibit A of the Report which are programmed in the Capital Improvement Plan. The Traffic Mitigation Fund has projects scheduled in the current Capital Improvement Plan for the next five (5) years, and depends upon additional fees and interest each year. Projects identified in Exhibit A which are funded at less than 100% with Traffic Mitigation Impact Fees are funded by other sources totaling \$12,169,043. Remaining appropriations totaling \$7,393,875 from the other sources are as follows: Reimbursable Grants \$1,200,034; Bonds Proceeds \$1,451,057; Curb Sidewalk Fee \$101,081, Measure B \$974,157, Gas Tax \$17,144, Electric Utility Contribution \$830,553; Regional Traffic Mitigation Fee \$1,270,000, General Fund \$1,400,000, and Developer Contributions \$149,849. All these amounts have been received and are available except the Reimbursable Grants, Measure B, and Regional Traffic Mitigation Fee.

C. The Storm Drain Impact Fee revenues are to be used to mitigate City storm drainage that results either directly or indirectly from development projects. The amount of the fee is proportionate to the need for storm drainage improvements generated by development projects. This fee is still necessary as several storm drain projects are tied to larger development projects that have yet to occur. These development projects are still anticipated to take place based on the City's General Plan. As new development occurs, additional improvement projects are identified and added to the Storm Drain Impact Fee Project List.

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D. The portion of the \$423,110 fund balance in the Storm Drain Impact Fee Fund that was at least five (5) years old as of June 30, 2022, totals \$216,873. The City will use the entire fund balance for the projects identified in Exhibit A of the Report which are programmed in the Capital Improvement Plan. The Storm Drain Impact Fee Fund has projects scheduled in the current Capital Improvement Plan for the next five (5) years, and depends upon additional fees and interest each year. The project identified in Exhibit A which is funded at less than 100% with Storm Drain Impact Fees is funded by the General Fund Capital Project Reserve (CPR) totaling \$972,008. The remaining appropriation from the CPR is \$564,519.

E. The Sanitary Sewer Conveyance Fee was adopted in 2006-07 to address Sewer Main capacity deficiencies resulting from increased development.

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F. The portion of the \$44,853,964 fund balance in the Sanitary Sewer Conveyance Fees Fund that was at least five (5) years old as of June 30, 2022, totals \$9,730,436. The City will use the entire fund balance for the projects identified in Exhibit A of the Report which are programmed in the Capital Improvement Plan. The Sanitary Sewer Conveyance Fee has projects scheduled in the current Capital Improvement Plan for the next five (5) years, and depends upon additional fees and interest each year. These projects are entirely funded by this fee and do not receive funding from any other sources.

2. Effective date. This resolution shall become effective immediately.

I HEREBY CERTIFY THE FOREGOING TO BE A TRUE COPY OF A RESOLUTION PASSED AND ADOPTED BY THE CITY OF SANTA CLARA, CALIFORNIA, AT A REGULAR MEETING THEREOF HELD ON THE 31ST DAY OF JANUARY, 2023, BY THE FOLLOWING VOTE:

AYES:	COUNCILORS:	Becker, Chahal, Hardy, Jain, Park, Watanabe, and Mayor Gillmor
NOES:	COUNCILORS:	None
ABSENT:	COUNCILORS:	None
ABSTAINED:	COUNCILORS:	None

ATTEST:



NORA PIMENTEL, MMC
ASSISTANT CITY CLERK
CITY OF SANTA CLARA

Attachments incorporated by reference:

1. AB1600 Report on Development Impact Fees FYE June 30, 2022

AB1600 REPORT ON DEVELOPMENT IMPACT FEES

For Fiscal Year ended June 30, 2022

BACKGROUND

Cities and counties often charge fees on new development to fund public improvements, public amenities and public services. For example, Traffic Mitigation Fees are used to fund transit facilities, streets, bike lanes and sidewalks. These fees are commonly known as development impact fees (Developer Fees). In 1989, the State Legislature passed Assembly Bill 1600 (AB1600) which added Section 66000, et seq., to the California Government Code. The chapter sets forth a number of requirements that local agencies must follow if they are to collect fees from developers to defray the cost of the construction of public facilities related to development projects. Government Code Sections 66000-66025 apply to developer fees established, increased or imposed on or after January 1, 1989, and generally sets forth four broad requirements:

1. A local jurisdiction must follow the process set forth in the bill and make certain determinations regarding the purpose and use of the fees and to establish a "nexus" or connection between a development project or class of project and the public improvement being financed with the fee.
2. The fee revenue must be segregated from the General Fund in order to avoid commingling of public improvement fees and the General Fund.
3. If a local jurisdiction has had possession of a developer fee for five years or more and has not committed that money to a project or actually spent that money, then it must make findings describing the continuing need for that money each fiscal year after the five years have expired.
4. If a local jurisdiction cannot make the findings required under paragraph 3, then the city or county must go through a refund procedure.

The Traffic Mitigation Fee, Sanitary Sewer Outlet Fee, Sanitary Sewer Connection Fee, Sanitary Sewer Conveyance Fee, Storm Drain Fee, Parks Mitigation Fee, Tasman East Specific Plan Infrastructure Impact Fee, and Affordable Housing Fees that the City of Santa Clara (City) collects qualify as Development Impact Fees and therefore must comply with the above referenced Government Code Sections. The amount of each of these development impact fees for fiscal year 2021-22 is reflected in the City's Municipal Fee Schedule, previously adopted by the City Council. The schedule is available at: <https://www.santaclaraca.gov/home/showpublisheddocument/74639/637630695120400000>. As required by law, these fees are segregated and accounted for as Special Revenue Funds. Government Code Section 66001 requires the City to make available to the public certain information regarding these fees for each fund within 180 days after the end of each fiscal year. Accordingly, the following report is presented to the City Council for review.

ANALYSIS

Using the accounting method known as first in, first out (FIFO), which means the first revenue received is assumed to be the first spent, staff analyzed the annual balances at the end of fiscal year 2021-22 to determine what portion, if any, of the balance was five or more years old. If a balance is more than five years old, a review of previously identified projects is undertaken to determine if any developer fees collected need to be refunded.

Many of the identified projects are already underway, and the City has appropriated funds for these projects as noted in the City's FY2021-22 and 2022-23 Biennial Operating Budget Book. The book is available at <https://www.santaclaraca.gov/home/showpublisheddocument/75118/637685047236500000>. The identification of each Capital Project on which fees were expended and the amount of the expenditures on each Capital Project including the total percentage of the cost of the Capital Project that was funded with fees are detailed in Exhibit A.

Traffic Mitigation Fee

The Traffic Mitigation Fee is levied to fund improvements or programs to mitigate City traffic impacts that result either directly or indirectly from development projects. To determine the traffic mitigation fees the City conducts a Traffic Impact Fee Nexus study and the most recent report was approved by Council August 21, 2018. The basis of Santa Clara's traffic mitigation fee, also more commonly known as a traffic impact fee is the number of net new PM peak hour vehicle trips generated by new development. Those additional trips result in the traffic impacts the fee is intended to mitigate. The fee is calculated by dividing the total cost of the improvement projects in the Traffic Mitigation Program by the number of additional PM peak hour trips generated by new development, which results in a "per PM peak hour trip" fee amount. For simplicity of application, this fee is then converted to a fee per square foot, per hotel room, or per dwelling unit, based on the trip generation rates in the latest ITE Trip Generation Manual. The fee is automatically adjusted for inflation annually at the start of each fiscal year, based on the latest Engineering News Record Construction Cost Index.

The following table summarizes the activity for the Traffic Mitigation Fund from 2017-18 through 2021-22.

Fund 123 & 533	2017-18	2018-19	2019-20	2020-21	2021-22
Beginning Balance	\$ 8,711,428	\$ 8,448,382	\$ 10,353,046	\$ 10,448,972	\$ 10,505,590
Developer Fees	855,324	1,958,563	182,518	728,208	978,860
Interest Income	115,449	196,524	200,204	152,901	165,723
Expenditures	(1,233,819)	(250,423)	(286,796)	(824,491)	(711,555)
Ending Balance	<u>\$ 8,448,382</u>	<u>\$ 10,353,046</u>	<u>\$ 10,448,972</u>	<u>\$ 10,505,590</u>	<u>\$ 10,938,618</u>

During 2021-22, the City collected \$978,860 of traffic mitigation fees, earned \$165,723 from interest and incurred \$711,555 of project expenditures. The grand total of the Traffic Impact Fee fund balance that is available at the end of 2021-22 is \$10,938,618 of which \$3,952,779 has been held for over five years. Exhibit A identifies the projects that will make use of all unspent fees held over five years.

There is no impact on City resources since all qualified impact fees held by the City for over five years are either spent or committed, thus eliminating the need to refund any fees to developers according to Government Code Sections 66000, et seq.

Sanitary Sewer Outlet Fee

The Sanitary Sewer Outlet Fee is collected from developers to construct public sanitary sewer facilities. City Council passed Ordinance 1778 on December 3, 2002 which created the sanitary sewer outlet charge which is used for the acquisition, construction, reconstruction, maintenance, and operation of off-site sewerage facilities, and to repay principal and interest on bonds issued for the construction and reconstruction of such sewerage facilities. The fee shall automatically adjust for inflation annually at the start of each fiscal year, based on the latest Engineering News Record Construction Cost Index.

The following table summarizes the activity for the Sanitary Sewer Outlet Fees from 2017-18 through 2021-22.

Fund 594	2017-18	2018-19	2019-20	2020-21	2021-22
Beginning Balance	\$ (2,075,945)	\$ (1,831,352)	\$ (1,588,864)	\$ (1,288,884)	\$ (1,089,598)
Developer Fees	244,593	242,488	299,980	199,286	420,456
Ending Balance	\$ (1,831,352)	\$ (1,588,864)	\$ (1,288,884)	\$ (1,089,598)	\$ (669,142)

The amount of developer fees collected in 2021-22 was \$420,456. The outstanding balance in the Sanitary Sewer Outlet Fee Fund at the end of 2021-22 is (\$669,142). Amounts have been transferred within the Sewer Enterprise Fund to make up the negative balance for Capital Projects financed with AB1600 development fees.

There is no impact on City resources since all qualified impact fees collected by the City have been spent, thus eliminating the need to refund any fees to developers according to Government Code Sections 66000-66003.

Sanitary Sewer Connection Fee

The Sanitary Sewer Connection Fee was adopted to improve and expand the sewer collection system. City Council passed Ordinance 1428 on August 25, 1981 which created the sanitary sewer connection charge which is charged whenever a property is initially connected or requires an addition of a new connection to the sanitary sewer system. The fee is charged based on type of dwelling unit for residential (single family, duplex, condominium, etc.) and non-residential which charges based on connection size. The fee shall automatically adjust for inflation annually at the start of each fiscal year, based on the latest Engineering News Record Construction Cost Index.

The following table summarizes activity for the Sanitary Sewer Connection Fee from 2017-18 through 2021-22.

Fund 594	2017-18	2018-19	2019-20	2020-21	2021-22
Beginning Balance	\$ (50,329,856)	\$ (74,240,874)	\$ (87,737,999)	\$ (116,641,597)	\$ (114,296,942)
Developer Fees	1,625,820	2,303,752	1,124,123	1,007,031	1,389,253
Expenditures	(25,536,838)	(15,800,877)	(30,027,721)	(5,488,096)	(37,645,683)
Refunded Expendit	-	-	-	6,825,720	4,653,617
Ending Balance	\$ (74,240,874)	\$ (87,737,999)	\$ (116,641,597)	\$ (114,296,942)	\$ (145,899,755)

During 2021-22, the City collected \$1,389,253 from developer fees and spent \$37,645,683 in construction project. The City received a cumulative \$4,653,617 in construction refunds from the City of San Jose for

the Joint Venture project, and the City reported this under a separate Refunded Expenditures line. Amounts have been transferred within the Sewer Enterprise Fund to make up the negative balance for Capital Projects financed with AB1600 development fees.

There is no impact on City resources since all qualified impact fees held by the City have been spent, thus eliminating the need to refund any fees to developers according to Government Code Sections 66000-66003.

Sanitary Sewer Conveyance Fee

The Sewer Conveyance Fee was approved by City Council in June 2007 and is intended to mitigate development impacts to the City's sanitary sewer conveyance system resulting from increases in the sanitary sewer discharges. The amount of Sanitary Sewer Conveyance Fee is based directly on the potential sewer discharge volumes of the proposed land uses. The fee was based on a Sanitary Sewer Capacity Assessment Report 2006, and subsequent update in 2016. The basis of Santa Clara's sewer conveyance fee is sewer flow rate generated by the new development. The fee is calculated by dividing the total cost of the capacity improvement projects in the Sanitary Sewer Master Plan or its predecessor reports by the total projected sanitary sewer flow rate generated by future developments, which results in a "per gallon per day (GPD)" fee amount. The per GPD fee multiplied by the estimated sanitary sewer flow rate (GPD) generated by a new development is the sanitary sewer conveyance fee for that new development.

The following table summarizes the activity for the Sanitary Sewer Conveyance Fees from 2017-18 through 2021-22.

Fund 594	2017-18	2018-19	2019-20	2020-21	2021-22
Beginning Balance	\$22,504,850	\$ 26,847,028	\$34,179,296	\$38,232,186	\$39,419,207
Developer Fees	4,136,935	6,916,161	4,079,586	3,126,854	5,214,338
Interest Income	307,104	515,362	705,177	559,621	720,262
Expenditures	(101,861)	(99,255)	(731,873)	(2,499,454)	(499,843)
Ending Balance	<u>\$26,847,028</u>	<u>\$ 34,179,296</u>	<u>\$38,232,186</u>	<u>\$39,419,207</u>	<u>\$44,853,964</u>

The current year's developer fees and interest income of \$5,214,338 and \$720,262 respectively, were partially offset by expenditures of \$499,843. The net change resulted in a current balance of \$44,853,964 which \$9,730,436 has been held for over five years. Exhibit A identifies the project that will make use of all unspent fees held over five years.

There is no impact on City resources since all qualified impact fees held by the City for over five years are either spent or committed, thus eliminating the need to refund any fees to developers according to Government Code Sections 66000-66003.

Storm Drain Fee

The Storm Drain Fee is levied to mitigate City storm drainage that results either directly or indirectly from development projects. The Storm Drain Outlet Fee is codified in the Santa Clara City Code Section 17.15.220 Sanitary Sewer and Storm Drains and was created for the purpose of defraying the estimated costs of constructing planned drainage facilities for removal of surface and storm waters from local drainage areas. The fee is charged based on the amount of acreage being developed with a project. The fee shall automatically adjust for inflation annually at the start of each fiscal year, based on the latest Engineering News Record Construction Cost Index.

The following table summarizes the activity for the Storm Drain Fees from 2017-18 through 2021-22.

Fund 535	<u>2017-18</u>	<u>2018-19</u>	<u>2019-20</u>	<u>2020-21</u>	<u>2021-22</u>
Beginning Balance	\$555,070	\$626,783	\$586,578	\$613,299	\$650,435
Developer Fees	67,194	5,749	15,409	27,903	33,450
Interest Income	4,760	8,845	11,312	9,233	6,794
Expenditures with Prior Year Adjustment	(241)	(54,799)	-	-	(267,569)
Ending Balance	<u>\$626,783</u>	<u>\$586,578</u>	<u>\$613,299</u>	<u>\$650,435</u>	<u>\$423,110</u>

During 2021-22, the City collected \$33,450 from developer fees and earned \$6,794 from interest. The grand total of the Storm Drain Fees that is available at the end of 2021-22 is \$423,110 of which \$216,873 has been held for over five years. Exhibit A identifies the projects that will make use of all unspent fees held over five years.

There is no impact on City resources since all qualified impact fees held by the City for over five years are either spent or committed, thus eliminating the need to refund any fees to developers according to Government Code Sections 66000-66003.

Parks Mitigation Fee

The Parks Mitigation Fee was adopted in fiscal year 2014-15 and went into effect for the 2016-17 fiscal year. Fees received can be used to provide (acquire) public parkland and/or make necessary park improvements according to the restrictions of the Mitigation Fee Act and help the City to address its park, recreation and open space needs. The City of Santa Clara completed a Parks & Recreation Facilities Development Impact Fee Study in 2014 and in 2019 that were reviewed and approved by the City Council after community and stakeholder public comment hearings. These reports provide the necessary findings required by the Mitigation Fee Act and Quimby Act for the adoption of the fees by Council resolution contained in the Municipal Fee Schedule. These reports provide the facility cost and land acquisition cost data and analysis and describe the methodology for calculation of the fees.

The parks and recreation facilities fees use an existing inventory demand standard translated into facility costs per capita to determine new development's fair share of planned facility costs. A cost standard provides a reasonable method for converting disparate types of facilities, in this case parkland and special use recreational facilities, into a single measure of demand (capital cost per capita). The cost standard is based on the existing inventory of parks and recreation facilities. New residential development would fund the expansion of facilities at the same rate that existing residential development has provided facilities to date. The City uses the existing ratio of developed parkland per 1,000 residents. In 2010 the standard was 2.45. The current standard is 2.60. (Quimby Act allows 3.0 acres/1,000 resident Standard).

The formula to calculate the cost per capita of providing new park facilities involves the following variables: (A) the value per acre of parkland by Zip Code Area of the City (95050, 90551, and 95054) as established by annual appraisal; (B) the Level of Service standard (parkland acres per 1,000 residents); (C) Cost per 1,000 Capita; (D) cost per capita; (F) Development land use type density per household (Single Family = 2.98, Multifamily = 2.40); (G) the per capita value of parkland improvements, and (H) a 2% in lieu fee program administrative charge. The formula used is $C = A \times B$, $D = C/1,000$. This cost per capita for parkland (D), and the cost per capita for improvements (G), are each multiplied by the density of development type (F): $D \times F + G \times F = \text{Base Fee (E)}$. The administrative fee (H) is then added to the Base Fee (E) for the "Total Fee" (I) for each Zip Code Area: $H + E = I$.

The calculation tables are provided in the in-Lieu Fee Resolution adopted by Council and posted on the City website and incorporated into the Municipal Fee Schedule. Based on the date the resident developer's Project application is deemed complete, the total parkland due can be calculated, the developed parkland dedicated, and credits deducted for eligible on-site recreational amenities.

The following table summarizes the activity for the Parks Mitigation Fee from 2017-18 through 2021-22.

Fund 532	<u>2017-18</u>	<u>2018-19</u>	<u>2019-20</u>	<u>2020-21</u>	<u>2021-22</u>
Beginning Balance	\$ 13,505,806	\$ 10,545,074	\$ 5,261,415	\$ 10,771,523	\$ 8,937,718
Developer Fees	-	268,091	7,159,545	1,522,149	14,634,898
Interest Income	147,253	111,431	176,942	110,320	124,450
Expenditures	(3,107,985)	(5,663,181)	(1,826,379)	(3,466,274)	(3,014,832)
Ending Balance	<u>\$ 10,545,074</u>	<u>\$ 5,261,415</u>	<u>\$ 10,771,523</u>	<u>\$ 8,937,718</u>	<u>\$ 20,682,234</u>

During 2021-22, the City collected \$14,634,898 for Park Mitigation fees, earned \$124,450 from interest, and incurred \$3,014,832 of project expenditures. The grand total of the Parks Mitigation Fee that is available at the end of 2021-22 is \$20,682,234. There are no fees that have been held over five years.

There is no impact on City resources since all qualified impact fees held by the City for over five years are either spent or committed, thus eliminating the need to refund any fees to developers according to Government Code Sections 66000-66003.

Tasman East Specific Plan Infrastructure Impact Fee

On November 13, 2018, the City Council adopted the Tasman East Specific Plan to guide the transition of an underutilized 45-acre industrial neighborhood east of the Great America Transit Center into a pedestrian-friendly, transit-oriented development, providing for the addition of 4,500 new residential units, 100,000 square feet of retail, and 10 acres of open space near transit and jobs. In coordination with developers within the Specific Plan area, the City established an Infrastructure Impact Fee for the Specific Plan area to create an equitable distribution of area-wide and common public infrastructure costs for all residential developments within the Specific Plan and to finance capital facility and infrastructure costs to serve these developments.

Ordinance No. 2026 Adding Subsection 17.15.350 to Chapter 15 of Title 17 of the Santa Clara City Code Regarding the Tasman East Specific Plan Infrastructure Impact Fee was adopted on November 17, 2020.

The following table summarizes the activity for the Tasman East Specific Plan Infrastructure Impact Fee from 2017--18 through 2021-22.

Fund 541	<u>2017-18</u>	<u>2018-19</u>	<u>2019-20</u>	<u>2020-21</u>	<u>2021-22</u>
Beginning Balance	\$ -	\$ -	\$ -	\$ -	\$ (170,921)
Developer Fees	-	-	-	-	3,465,453
Interest Income	-	-	-	-	5,896
Expenditures	-	-	-	(170,921)	(40,425)
Ending Balance	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ (170,921)</u>	<u>\$ 3,260,003</u>

During 2021-22, the City collected \$3,465,453 from developer fees, earned \$5,896 from interest and incurred \$40,425 of project expenditures. The grand total of the Tasman East Specific Plan Infrastructure

Impact Fees that is available at the end of 2021-22 is \$3,260,003. There are no fees that have been held over five years.

There is no impact on City resources since all qualified impact fees collected by the City have been spent, thus eliminating the need to refund any fees to developers according to Government Code Sections 66000-66003.

Affordable Housing Fee

The Affordable Housing Fee was adopted to mitigate the impacts of new market-rate housing development and non-residential development on the need for affordable housing, in addition to assisting in meeting the City's share of the region's housing need and implementing the goals, policies and actions specified in the Housing Element of the general plan. City Council passed Ordinance 1974 on December 5, 2017 which established the affordable housing fee applicable to residential and nonresidential projects and to encourage the development of rental housing and as well as smaller units that may be more affordable by design. The fee established are significantly lower than the amount needed to fully mitigate the impacts of the new for-sale and rental resident projects and non-residential project on the need for affordable housing. The fees shall automatically adjust for inflation annually using the Engineering News Record McGraw-Hill Construction Weekly Building Index for San Francisco.

The following table summarizes the activity for the Affordable Housing Fee from 2017-18 through 2021-22.

Fund 565	2017-18	2018-19	2019-20	2020-21	2021-22
Beginning Balance	\$ -	\$ -	\$ -	\$ -	\$ 131,284
Developer Fees	-	-	-	130,201	5,613,415
Interest Income	-	-	-	1,083	15,878
Ending Balance	\$ -	\$ -	\$ -	\$ 131,284	\$ 5,760,577

During 2021-22, the City collected \$5,613,415 from developer fees and earned \$15,878 from interest. The grand total of the Affordable Housing Fees that is available at the end of 2021-22 is \$5,760,577. There are no fees that have been held over five years.

There is no impact on City resources since all qualified impact fees collected by the City have been spent, thus eliminating the need to refund any fees to developers according to Government Code Sections 66000-66003.

PUBLIC NOTICE: Public notification was achieved by posting the availability of the report 15 days prior to the meeting, as required by Government Code Section 66006(b)(2).

Attachments:

Exhibit A: Summary of Development Impact Fees

Exhibit A

City of Santa Clara Summary of Local Agency Improvement Fees (AB 1600 Development Impact Fees) Report for Fiscal Year Ended June 30, 2022 Streets and Highways (Fund 123 & 533)

Traffic Mitigation Fee (Fund 123 and 533)									
FY 2020-21 Ending Fund Balance								\$	10,505,590
Fees Collected									978,860
Interest Earned									165,723
Expenditures									(711,555)
FY 2021-22 Ending Fund Balance								\$	10,938,618
Funds Accumulated in Current and Last 5 Years								\$	6,985,839
Funds Held Longer than 5 Years								\$	3,952,779
Projects Programmed for Impact Fees								\$	8,313,044

					Traffic Mitigation Fee				
					Since Inception Date Through June 30, 2022				
Project #	Description	Project Status/ Estimated Completion Year	Total Project Appropriation All Funding Sources	Funding Status	% Impact Fee Funded	Total Impact Fee Appropriation	Total Impact Fee Expenditures	Impact Fee Appropriation Remaining	FY 2021-22 Impact Fee Expenditure
1206	Pruneridge Ave-Lawrence Expwy Bicycle Lanes Improvement	2022	\$ 575,000	100%	20%	\$ 115,000	\$ 115,000	\$ -	\$ 99,589
1216	Traffic Studies and Signal Needs Assessment/Upgrade	Ongoing	600,000	100%	70%	420,000	228,220	191,780	5,940
1217	Traffic Signal Management Software Upgrade/Replacement	2023	3,372,871	100%	89%	3,000,942	1,627,829	1,373,113	55,472
1218	Traffic Pre-Emptors	2023	1,445,259	100%	94%	1,358,104	508,601	849,503	-
1219	Traffic Signal Enhancements	Ongoing	1,222,518	100%	100%	1,222,518	572,051	650,467	-
1220	Pedestrian and Bicycle Enhancement Facilities	Ongoing	2,321,998	100%	83%	1,921,998	1,381,924	540,074	3,472
1232	Traffic Signal Interconnect Upgrade	Ongoing	594,560	100%	76%	450,000	14,491	435,509	-
1234	Transportation Modeling Update	Ongoing	216,700	100%	92%	200,000	35,900	164,100	19,200
1237	MCB/GAP Intersection Improvement Project	2025	8,368,124	100%	40%	3,330,400	1,761,675	1,568,725	138,432
1242	Intersection Improvement- ECR at San Tomas Phase B	2022	2,843,588	100%	66%	1,886,041	1,886,041	-	202,451
1245	Benton Bike Lanes	2024	1,726,000	100%	14%	249,000	129,810	119,190	-
1248	Pruneridge Ave-Complete Streets Plan	2024	416,347	100%	22%	90,270	32,380	57,890	32,380
1251	HAWK Beacon on Scott and Harrison	2023	750,000	100%	100%	750,000	62,668	687,332	50,328
1258	Multimodal Improvement Plan Phase 2 Projects	2027	590,000	0%	10%	60,000	-	60,000	-
1259	Monroe Los Padres Traffic Signal Modification	2024	145,000	100%	88%	127,856	-	127,856	-
1261	Santa Clara School Access Improvements	2023	2,471,000	54%	54%	1,325,000	171,075	1,153,925	103,994
1274	Lafayette St Class IV Bike Lanes	2025	200,000	10%	10%	20,000	297	19,703	297
1275	De La Cruz Boulevard Class IV Bikeway Study	2024	200,000	30%	30%	60,000	-	60,000	-
1276	Monroe Street Class II Buffered Bike Lane Study	2024	200,000	70%	30%	60,000	-	60,000	-
1277	Walsh Avenue Class IV Bikeway Study	2024	250,000	30%	30%	75,000	-	75,000	-
1280	MCB Class IV Bike Lanes	2023	65,000	83%	83%	53,877	-	53,877	-
1376	Safe Route to School	Ongoing	436,084	100%	15%	65,000	-	65,000	-
Totals			\$ 29,010,049			\$ 16,841,006	\$ 8,527,962	\$ 8,313,044	\$ 711,555

Exhibit A

City of Santa Clara Summary of Local Agency Improvement Fees (AB 1600 Development Impact Fees) Report for Fiscal Year Ended June 30, 2022

Sanitary Sewer Outlet Fee (Fund 594)

Sanitary Sewer Outlet Fee (Fund 594)	
FY 2020-21 Ending Fund Balance	\$ (1,089,598)
Fees Collected	420,456
Expenditures	-
FY 2021-22 Ending Fund Balance	\$ (669,142)

					Sanitary Sewer Outlet Fee Since Inception Date Through June 30, 2022				
Project #	Description	Project Status	Total Project Appropriation All Funding Sources	Funding Status	% Impact Fee Funded	Total Impact Fee Appropriation	Total Impact Fee Expenditures	Impact Fee Appropriation Remaining ⁽¹⁾	FY 2021-22 Impact Fee Expenditure
1907	Development Extensions	Closed	\$ -	0%	0%	-	-	\$ -	\$ -

Note (1) Amounts have been transferred within the Sewer Enterprise Fund to make up the negative balance for Capital Projects financed with AB1600 Development Fees
There were no interfund loans.

Exhibit A

City of Santa Clara Summary of Local Agency Improvement Fees (AB 1600 Development Impact Fees) Report for Fiscal Year Ended June 30, 2022

Sanitary Sewer Connection Fee (Fund 594)

Sanitary Sewer Connection Fee (Fund 594)	
FY 2020-21 Ending Fund Balance	\$ (114,296,942)
Fees Collected	1,389,253
Expenditures	(32,992,066)
FY 2021-22 Ending Fund Balance	\$ (145,899,755)
Funds Accumulated in Current and Last 5 Years	\$ -
Funds Held Longer than 5 Years	\$ -
Projects Programmed for Impact Fees	\$ -

					Sanitary Sewer Connection Fee Since Inception Date Through June 30, 2022				
Project #	Description	Project Status	Total Project Appropriation All Funding Sources	Funding Status	% Impact Fee Funded	Total Impact Fee Appropriation	Total Impact Fee Expenditures	Impact Fee Appropriation Remaining ⁽¹⁾	FY 2021-22 Impact Fee Expenditure
1908	S.J.- S.C. Regional Wastewater Facility	Ongoing	\$ 228,632,948	100%	42%	96,030,575	96,030,575	\$ -	\$ 32,992,066

Note (1) Amounts have been transferred within the Sewer Enterprise Operating Fund and Debt Service Fund to make up the negative balance for Capital Projects financed with AB1600 Development Fees
There were no interfund loans.

Exhibit A

City of Santa Clara Summary of Local Agency Improvement Fees (AB 1600 Development Impact Fees) Report for Fiscal Year Ended June 30, 2022

Sanitary Sewer Conveyance Fee (Fund 594)

Sanitary Sewer Conveyance Fee (Fund 594)	
FY 2020-21 Ending Fund Balance	\$ 39,419,207
Fees Collected	5,214,338
Interest Earned	720,262
Expenditures	(499,843)
FY 2021-22 Ending Fund Balance	\$ 44,853,964
Funds Accumulated in Current and Last 5 Years	\$ 35,123,528
Funds Held Longer than 5 Years	\$ 9,730,436
Projects Programmed for Impact Fees	\$ 22,777,722

					Sanitary Sewer Conveyance Fee Since Inception Date Through June 30, 2022				FY 2021-22 Impact Fee Expenditure
Project #	Description	Project Status	Total Project Appropriation All Funding Sources	Funding Status	% Impact Fee Funded	Total Impact Fee Appropriation	Total Impact Fee Expenditures	Impact Fee Appropriation Remaining	
1909	Sanitary Sewer Capacity Improvements	Ongoing	\$ 34,052,247	100%	100%	\$ 34,052,247	\$ 11,274,525	\$ 22,777,722	\$ 249,588
1919	Sanitary Sewer Hydraulic Modeling As Needed Support	Ongoing	1,273,636	100%	34%	429,527	429,527	-	250,255
Totals			\$ 35,325,883			\$ 34,481,774	\$ 11,704,052	\$ 22,777,722	\$ 499,843

Exhibit A

City of Santa Clara Summary of Local Agency Improvement Fees (AB 1600 Development Impact Fees) Report for Fiscal Year Ended June 30, 2022

Storm Drain Fee (Fund 535)

Storm Drain Fee (Fund 535)		
FY 2020-21 Ending Fund Balance	\$	650,435
Fees Collected		33,450
Interest Earned		6,794
Expenditures Adjustment		(267,569)
FY 2021-22 Ending Fund Balance	\$	423,110
Funds Accumulated in Current and Last 5 Years	\$	206,237
Funds Held Longer than 5 Years	\$	216,873
Projects Programmed for Impact Fees	\$	278,469

					Storm Drain Fee Since Inception Date Through June 30, 2022				
Project #	Description	Project Status	Total Project Appropriation All Funding Sources	Funding Status	% Impact Fee Funded	Total Impact Fee Appropriation	Total Impact Fee Expenditures	Impact Fee Appropriation Remaining	FY 2021-22 Impact Fee Expenditure
1831	Miscellaneous Storm Drain Improvements	Ongoing	\$ 316,577	100%	32%	100,000	-	100,000	\$ -
1834*	Storm Drain System Improvement	Ongoing	425,374	100%	100%	425,374	392,106	33,268	-
1835	Storm Drain Outfall Reconstruction Program	Ongoing	1,673,000	100%	55%	917,569	772,368	145,201	267,569
Totals			\$ 2,414,951			\$ 1,442,943	\$ 1,164,474	278,469	\$ 267,569

Exhibit A

City of Santa Clara Summary of Local Agency Improvement Fees (AB 1600 Development Impact Fees) Report for Fiscal Year Ended June 30, 2022

Parks Mitigation Fee (Fund 532)

Parks Mitigation Fee (Fund 532)	
FY 2020-21 Ending Fund Balance	\$ 8,937,718
Fees Collected	14,634,898
Interest Earned	124,450
Expenditures	(3,014,832)
FY 2021-22 Ending Fund Balance	\$ 20,682,234
Funds Accumulated in Current and Last 5 Years	\$ 39,125,827
Funds Held Longer than 5 Years	\$ -
Projects Programmed for Impact Fees	\$ 11,171,634

					Parks Mitigation Fee Since Inception Date Through June 30, 2022				
Project #	Project Description	Project Status/ Estimated Completion Year	Total Project Appropriation All Funding Sources	Funding Status	% Impact Fee Funded	Total Impact Fee Appropriation	Total Impact Fee Expenditures	Impact Fee Appropriation Remaining	FY 2021-22 Impact Fee Expenditure
3133	Central Park Master Plan New Improvement	2023	\$ 2,518,448	100%	100%	\$ 2,518,448	\$ 34,121	\$ 2,484,327	\$ 34,121
3136	Westwood Oaks Park Playground Rehabilitation	2023	1,149,800	100%	100%	1,149,800	78,933	1,070,867	78,933
3137	Warburton Park Playground Rehabilitation	2023	1,331,800	100%	5%	61,295	-	61,295	-
3177	Youth Soccer Fields & Athletic Facilities	2021	45,251,768	100%	22%	10,032,925	10,032,925	-	43,041
3181	Park Impact Fees Monitoring Project	Ongoing	1,412,830	100%	75%	1,053,513	371,251	682,262	27,899
3184	Montague Park Enhancement	2022	7,293,540	100%	100%	7,293,540	420,657	6,872,883	23,597
3199	Park&Rec Engineering Management	Ongoing	493,397	100%	59%	293,379	293,379	-	293,379
1204	Saratoga Creek Trail (Homeridge Park to Central Park) FY2122	2023	7,370,070	100%	27%	2,025,000	2,025,000	-	2,025,000
3000	General Fund Loan Repayment	2023	5,065,210	100%	100%	5,065,210	5,065,210	-	488,862
Totals			\$ 71,886,863			\$ 29,493,110	\$ 18,321,476	\$ 11,171,634	\$ 3,014,832

Exhibit A

City of Santa Clara

Summary of Local Agency Improvement Fees

(AB 1600 Development Impact Fees)

Report for Fiscal Year Ended June 30, 2022

Tasman East Specific Plan Infrastructure Impact Fee (Fund 541)

Tasman East Specific Plan Infrastructure Impact Fee (Fund 541)	
FY 2020-21 Ending Fund Balance	\$ -
Fees Collected	3,465,453
Interest Earned	5,896
Expenditures	(211,346)
FY 2021-22 Ending Fund Balance	\$ 3,260,003
Funds Accumulated in Current and Last 5 Years	\$ 3,260,003
Funds Held Longer than 5 Years	\$ -
Projects Programmed for Impact Fees	\$ -

					Affordable Housing Fee				
					Since Inception Date Through June 30, 2022				
Project #	Description	Project Status	Total Project Appropriation All Funding Sources	Funding Status	% Impact Fee Funded	Total Impact Fee Appropriation	Total Impact Fee Expenditures	Impact Fee Appropriation Remaining ⁽¹⁾	FY 2021-22 Impact Fee Expenditure
4610	Tasman East Admin Studay and Engineering	Ongoing	\$ 211,346	100%	100%	211,346	211,346	\$ -	\$ 40,425

Exhibit A
City of Santa Clara
Summary of Local Agency Improvement Fees
(AB 1600 Development Impact Fees)
Report for Fiscal Year Ended June 30, 2022

Affordable Housing Fee (Fund 565)

Affordable Housing Fee (Fund 565)	
FY 2020-21 Ending Fund Balance	\$ 131,284
Fees Collected	5,613,415
Interest Earned	15,878
FY 2021-22 Ending Fund Balance	\$ 5,760,577
Funds Accumulated in Current and Last 5 Years	\$ 5,760,577
Funds Held Longer than 5 Years	\$ -
Projects Programmed for Impact Fees	\$ -

					Affordable Housing Fee Since Inception Date Through June 30, 2022				FY 2021-22 Impact Fee Expenditure
Project #	Description	Project Status	Total Project Appropriation All Funding Sources	Funding Status	% Impact Fee Funded	Total Impact Fee Appropriation	Total Impact Fee Expenditures	Impact Fee Appropriation Remaining ⁽¹⁾	